

MediaTek Inc. Reports Second-Quarter Consolidated Results

MediaTek discloses Taiwan-International Financial Reporting Standards (TIFRS) financial measures and also provides Non-Taiwan-International Financial Reporting Standards (Non-TIFRS)^{Note1} financial measures as supplemental information. Non-TIFRS financial information should be considered in addition to, not as a substitute for, TIFRS financial information. Earnings distribution is made in accordance with financial statements based on TIFRS.

Taiwan-International Financial Reporting Standards (TIFRS) financial measures

- 2Q26 consolidated revenue of NT\$152,183 million, up 2.0% quarter-over-quarter and 1.2% year-over-year
- 2Q26 consolidated gross margin of 46.2%, down 0.1 percentage points quarter-over-quarter and 2.9 percentage points year-over-year
- 2Q26 consolidated operating income of NT\$22,868 million, down 0.1% quarter-over-quarter and 22.2% year-over-year
- 2Q26 consolidated net income of NT\$24,605 million, up 0.9% quarter-over-quarter and down 12.3% year-over-year; EPS of NT\$15.28

Consolidated Revenue

MediaTek Inc. today announced financial results of its second quarter ended June 30, 2026. The second-quarter revenue was NT\$152,183 million, up 2.0% quarter-over-quarter and 1.2% year-over-year. The quarter-over-quarter and year-over-year increases were mainly due to market share expansion in the Smart Edge Platforms, which offset declining smartphone demand, highlighting the resilience of the diversified product portfolio.

Consolidated Gross Profit and Gross Margin

The second-quarter gross profit was NT\$70,308 million, up 1.8% quarter-over-quarter and down 4.8% year-over-year. Gross margin for the quarter was 46.2%, down 0.1 percentage points quarter-over-quarter and 2.9 percentage points year-over-year. The quarter-over-quarter decrease in gross margin mainly reflected gross margin changes in certain products. The year-over-year decrease was mainly due to a one-time benefit in the year-ago quarter.

Consolidated Operating Expenses

Operating expenses for the quarter were NT\$47,440 million (31.2% of revenue), which increased from NT\$46,165 million (31.0% of revenue) in the previous quarter and NT\$44,499 million (29.6% of revenue) in the year-ago quarter. The quarter-over-quarter and year-over-year increases were mainly due to continued R&D investments.

Operating expenses for the quarter included:

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- R&D expenses of NT\$39,361 million (25.9% of revenue), increased from NT\$38,345 million in the previous quarter and NT\$36,923 million in the year-ago quarter.
- Selling expenses of NT\$4,685 million (3.1% of revenue), decreased from NT\$5,015 million in the previous quarter and NT\$4,944 million in the year-ago quarter.
- Administration expenses of NT\$3,395 million (2.2% of revenue), increased from NT\$2,804 million in the previous quarter and NT\$2,632 million in the year-ago quarter.

Consolidated Operating Income and Operating Margin

Operating income for the quarter was NT\$22,868 million, down 0.1% sequentially and 22.2% year-over-year. Operating margin for the quarter was 15.0%, down from 15.3% in the previous quarter and 19.5% in the year-ago quarter.

Consolidated Non-operating Income (loss) and Income Tax

Non-operating income for the quarter was NT\$5,094 million, or 3.3% of revenue, mainly from interest income and dividend income. Income tax expense for the quarter was NT\$3,357 million.

Consolidated Net Income, Net Profit Margin and EPS

Net income for the quarter was NT\$24,605 million, up 0.9% sequentially and down 12.3% year-over-year. Net profit margin for the quarter was 16.2%, down from 16.3% in the previous quarter and 18.7% in the year-ago quarter. EPS was NT\$15.28, up from NT\$15.17 in the previous quarter and down from NT\$17.50 in the year-ago quarter. The quarter-over-quarter increases in net income and EPS were mainly due to higher revenue in the quarter. The year-over-year decreases in net income, net profit margin and EPS were mainly due to lower gross margin in the quarter.

Consolidated Cash and Financial Assets-Current

Cash and financial assets-current at the end of the quarter was NT\$198,403 million. This represents 25.2% of the company's total assets. Cash and financial assets-current was NT\$194,779 million and NT\$196,735 million at the end of previous quarter and the year-ago quarter, respectively. Financial assets-current portfolio includes mutual funds, bonds, derivatives and so on.

Consolidated Accounts Receivable

Accounts receivable (net) at the end of the quarter was NT\$76,981 million. The accounts receivable turnover was 47 days based on quarterly average net receivables divided by annualized net revenue. The turnover was higher than 43 days in the previous quarter and 45 days the year-ago quarter.

Consolidated Inventory

Net inventory at the end of the quarter was NT\$98,421 million. The inventory turnover was 102 days based on quarterly average inventory divided by annualized cost of goods sold. The turnover was higher than 87 days in the previous quarter and 66 days in the year-ago quarter.

Consolidated Cash Flow from Operations

Net cash provided by operating activities during the quarter was NT\$24,251 million, compared with net cash used in operating activities of NT\$17,657 million in the previous quarter and net cash provided by operating activities of NT\$45,669 million in the year-ago quarter.

Earnings Webcast

MediaTek will hold a public webcast today (July 31). Materials for the conference call will be published 30 minutes prior to the call and an audio replay will be available in one hour after the call at the investors section of MediaTek's website.

<https://www.mediatek.com/investor-relations/financial-information#quarterly-earnings-release>

Schedule:

Date: Friday, July 31, 2026

Time: 3:00 – 4:00 p.m. (Taiwan Time)

Language: English

Webcast Links:

<https://ottlive-ott2b2.cdn.hinet.net/mediatek/index.html>

Investors who want to raise questions may use the toll number below.

Dial-in Number: +852-21121444 / +886-2-33961191

Password: 1080531#

About MediaTek Inc.

MediaTek (TWSE: 2454) is a global leader in fabless semiconductor design, providing solutions from the edge to the cloud. Powering over 2 billion connected devices every year, MediaTek's leading-edge technology keeps the world connected and enhances everyday life. At the forefront of innovation, MediaTek drives advancements in transformative technologies such as AI, 5G/6G, and Wi-Fi 7/Wi-Fi 8. Our high-performance, power-efficient products form the foundation for a smarter, more connected world, enabling devices from smartphones, smart homes and AI PCs to high-performance computing, automotive, and AI data centers. As a trusted partner to the world's leading brands, MediaTek leads the industry in creating solutions that meet the evolving needs of the global community, ensuring access to world-class technology for everyone. Our commitment to accelerating AI underscores our dedication to enriching the future of humanity. Visit <http://www.mediatek.com> for more information.

Taiwan-International Financial Reporting Standards (TIFRS)

MediaTek Inc. Consolidated Income Statement (Unaudited)

(In NT\$ millions, except EPS)	2Q26	1Q26	2Q25	Q-Q	Y-Y
Net Sales	152,183	149,151	150,369	2.0%	1.2%
Operating costs	(81,875)	(80,095)	(76,491)		
Gross profit	70,308	69,055	73,878	1.8%	(4.8%)
Selling expenses	(4,685)	(5,015)	(4,944)		
Administration expenses	(3,395)	(2,804)	(2,632)		
R&D expenses	(39,361)	(38,345)	(36,923)		
Operating expenses	(47,440)	(46,165)	(44,499)		
Operating income	22,868	22,891	29,379	(0.1%)	(22.2%)
Net non-operating income	5,094	4,129	3,849		
Net income before income tax	27,962	27,019	33,228		
Income tax expense	(3,357)	(2,643)	(5,163)		
Net income	24,605	24,376	28,064	0.9%	(12.3%)
Owners of the parent	24,335	24,154	27,848	0.7%	(12.6%)
Non-controlling interests	270	222	216		
EPS attributable to the parent(NT\$)	15.28	15.17	17.50		
Average Exchange Rate - USD/NTD	31.60	31.62	30.88		

Note: Sums may not equal totals due to rounding.

MediaTek Inc. Consolidated Income Statement (Percentage of Revenue)

	2Q26	1Q26	2Q25
Gross profit	46.2%	46.3%	49.1%
Selling expenses	(3.1%)	(3.4%)	(3.3%)
Administration expenses	(2.2%)	(1.9%)	(1.8%)
R&D expenses	(25.9%)	(25.7%)	(24.6%)
Operating income	15.0%	15.3%	19.5%
Non-operating income	3.3%	2.8%	2.6%
Income tax expense	(2.2%)	(1.8%)	(3.4%)
Net income	16.2%	16.3%	18.7%

Note: Sums may not equal totals due to rounding.

MediaTek Inc. Consolidated Balance Sheet (Unaudited)

(In NT\$ millions)	2Q26	1Q26	2Q25
Cash & financial assets-current	198,403	194,779	196,735
Accounts receivable	76,981	79,245	69,733
Inventories	98,421	85,470	55,482
Other current assets	23,200	18,690	27,182
Funds and investments	181,064	172,265	148,670
Intangible assets	97,509	87,580	81,342
Other non-current assets	111,869	100,746	90,071
Total assets	787,448	738,776	669,214
Short-term loans	17,100	16,440	5,940
Accounts payable	51,328	49,559	39,070
Other current liabilities	251,891	243,808	213,205
Total non-current liabilities	34,488	30,522	26,472
Total equity	432,642	398,447	384,528

Note: Sums may not equal totals due to rounding.

MediaTek Inc. Consolidated Cash Flow Summary (Unaudited)

(In NT\$ millions)	2Q26	1Q26	2Q25
Net cash provided by (used in) operating activities	24,251	(17,657)	45,669
Net cash provided by (used in) investing activities	(19,590)	(4,091)	(10,212)
Net cash provided by (used in) financing activities	(12)	(31,138)	(25,936)
Effect of changes in exchange rate on cash and cash equivalents	(162)	2,110	(19,861)
Net increase (decrease) in cash and cash equivalents	4,486	(50,775)	(10,340)
Cash and cash equivalents at the end of the period	189,001	184,515	185,349

Note: Sums may not equal totals due to rounding.

【Supplemental Information】

Reconciliations of TIFRS Results to Non-TIFRS Results^{Note2}

(In NT\$ millions)

		2Q26	1Q26	2Q25	Q-Q	Y-Y
TIFRS	Operating income	22,868	22,891	29,379	(0.1%)	(22.2%)
	Operating income margin(%)	15.0%	15.3%	19.5%		
Reconciliations	Share-based compensation	781	637	517		
	Amortization of acquisition related assets	38	38	95		
Non-TIFRS	Operating income	23,687	23,566	29,990	0.5%	(21.0%)
	Operating income margin (%)	15.6%	15.8%	19.9%		

TIFRS	Net income	24,605	24,376	28,064	0.9%	(12.3%)
	Net income margin(%)	16.2%	16.3%	18.7%		
	Net income- Owners of the parent	24,335	24,154	27,848	0.7%	(12.6%)
	EPS(NT\$)	15.28	15.17	17.50		
Reconciliations	Share-based compensation	781	637	517		
	Amortization of acquisition related assets	38	38	95		
	Tax effect	(119)	(95)	(92)		
Non-TIFRS	Net income	25,305	24,957	28,584	1.4%	(11.5%)
	Net income margin (%)	16.6%	16.7%	19.0%		
	Net income- Owners of the parent	25,020	24,719	28,352	1.2%	(11.8%)
	EPS(NT\$)	15.71	15.52	17.81		

Note1: Sums may not equal totals due to rounding.

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